

Fabtech Technologies Cleanrooms Ltd

Turnkey cleanroom infrastructure: pharma | solar | data centres | semiconductors

NSE/BSE SME | ISIN: INE0HSD01011 | Sector: Engineering Infrastructure | CMP: Rs. 425

BUY	Target Price Rs. 575	Upside +35%	Horizon 18 Months
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CMP (Rs.)	Mkt Cap	52W High	52W Low	P/E (TTM)	Book Value	ROCE	ROE
425	524 Cr.	470	203	33.1x	Rs. 84.1	19.7%	16.0%

Investment Thesis: India's largest independent cleanroom EPC platform pivoting to semiconductor, solar, and data-centre verticals — FY27 order book inflection (Rs. 354 Cr as of Jun-2026) and Hyderabad capacity ramp set to drive 35-40% revenue CAGR, re-rating from SME to mainboard-grade multiples.

Promoter	FII	DII	Public	Promoter Pledge	Div. Yield	Face Value
68.49%	0.00%	5.65%	25.86%	Nil	0.47%	Rs. 10

Source: Screener.in (16 Jun 2026 close). Consolidated figures. This report is for informational purposes only.

2. INVESTMENT THESIS

BUY | Target Rs. 575 | +35% upside

- **India cleanroom market inflection — Rs. 2,300 Cr by 2030 (8% CAGR):** The domestic cleanroom market is at ~Rs. 1,400 Cr and expanding rapidly driven by pharma capex (US FDA compliance upgrades), semiconductor PLI allocations (Rs. 76,000 Cr), and data centre buildout (40 Bn USD pipeline). FTCL is the sole listed, scale-capable, domestic end-to-end cleanroom EPC with a growing multi-sector reference book.
- **Order book inflection already underway:** Order book crossed Rs. 354 Cr in Jun-2026 (up from Rs. 199 Cr at FY26 close, confirmed in the May-2026 concall), with Rs. 541 Cr under consideration. The Waaree Energies solar cleanroom (Rs. 65 Cr, Nov-2026 delivery) is the reference win that opens the entire solar PV sector as a recurring vertical.
- **Integrated ecosystem creates a durable cost and timeline moat:** FTCL owns or holds strategic stakes in Kelvin HVAC (60.53%), Aart Engineering (28%), and Advantek AHU manufacturing (34.99%), enabling in-house HVAC, engineering design, and AHU supply. This vertical integration is structurally unavailable to competitors that sub-contract.
- **Near-term catalyst (FY27 H1):** Commissioning of Waaree solar cleanroom by July 2026 is the pivot event — completion delivers a reference that management expects will unlock 23+ active solar leads and multiple high-ticket follow-on orders (Rs. 60-80 Cr each).
- **Biggest structural risk:** Working capital cycle elongation (CCC=142 days in FY26, worsening from FY25's 122 days) combined with scaling borrowings (Rs. 19 Cr FY26 vs Rs. 1 Cr FY25) could pressure the balance sheet if project retention money is delayed.

3. BUSINESS OVERVIEW

Incorporated 2015 |
Umbergaon (Gujarat) +
Hyderabad

- **Core business:** Fabtech Technologies Cleanrooms Ltd (FTCL) designs, manufactures, and installs turnkey controlled-environment infrastructure — modular cleanroom panels, HVAC/MEP systems, doors, and associated engineering. Revenue is 100% project-based EPC. Primary manufacturing at Umbergaon (Gujarat GIDC); new Hyderabad facility (2 acres, 50,000 sq ft, 2,000 sq m/day capacity) commissioned FY26.
- **Revenue segmentation (FY26):** Pharmaceutical/biotech remains the dominant vertical (est. 65-70% of revenues); Solar manufacturing cleanrooms were est. 20-25% in FY26 (first full-year contribution from Waaree/Saatvik/Gupin orders); Data centres and semiconductors combined est. <10% — these are reference-building plays for FY27 ramp.
- **Order book composition (Jun-2026):** Rs. 354 Cr confirmed order book, Rs. 541 Cr under active consideration/bid stage. May-2026 BSE announcement: April-2026 intake Rs. 70.82 Cr, May-2026 intake Rs. 153.05 Cr — representing a significant acceleration in the monthly intake rate versus FY26's average of ~Rs. 18 Cr/month.
- **Integrated ecosystem (subsidiary and associates):** Kelvin Air Conditioning & Ventilation Systems (60.53% stake) — HVAC integration; Aart Integrated Projects (28%) — high-precision design (semiconductor, solar, pharma); Advantek (34.99%) — AHU manufacturing (backward integration). Kelvin doubled revenue, Aart grew from Rs. 14 Cr to Rs. 34 Cr in FY26.
- **Customers:** Life sciences (Abbott, Cipla-grade pharma plants), solar manufacturers (Waaree Energies, Saatvik Green, Gupin), and CG Electronics (semiconductor reference). All contracts are project-based; limited recurring maintenance revenue currently.
- **Promoter background:** Aasif Khan (Director and Chairperson) — industry veteran since 1991, executed Johnson & Johnson's first cleanroom in India. Anup Munshi (CEO), Sajjan Kumar Bawri (CFO). Promoter holding: 68.49% (Mar-2026), zero pledge.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Cleanroom EPC | India
market ~Rs. 1,400 Cr

- **Market size and growth:** India cleanroom market estimated at ~US\$281 million (Rs. ~2,350 Cr) as of 2025, growing at 8% CAGR to reach US\$445 million by 2030. Within this, the pharma sub-segment accounts for ~50%; solar/data centre/semiconductor are emerging verticals expected to outpace pharma from 2026 onwards.

- **Structural demand drivers:** (1) US FDA and WHO-GMP compliance retrofits across Indian pharma (Rs. 40,000+ Cr capex cycle FY25-28E); (2) Semiconductor PLI scheme (Rs. 76,000 Cr committed, Micron Manesar and Tata PSMC operational by 2026-27); (3) Data centre buildout — 40 Bn USD projected India demand over 5 years; (4) Solar cell/module manufacturing scale-up (Waaree, Adani, Reliance).

- **Competitive dynamics:** Market fragmented. Global leaders (Japanese/Korean conglomerates) dominate semiconductor cleanrooms but have poor price-competitiveness for pharma and solar. FTCL is one of two Indian companies with the scale, integration, and reference book to serve all four verticals (the other was recently acquired by a Japanese firm per management commentary on the May-2026 call).

- **Competitive moat assessment:** Scale (Moderate — 2 plants, growing); Vertical integration (Strong — HVAC, AHU, engineering in-house); Reference credentials (Moderate-Strong — pharma established; solar/semi building); Pricing power (Moderate — constrained by competition in initial entry to solar/semi); Switching costs (Low-Moderate — project-based, not recurring SaaS-like).

Company	MCap (Cr)	CMP (Rs.)	TTM Sales (Cr)	OPM%	P/E (TTM)	ROE%	ROCE%
FABCLEAN (Consolidated)	524	425	219	10%	33.1x	16.0%	19.7%
HVAX Technologies	181	653	164	10%	12.7x	16.5%	N/A
EPACK Durable	2,211	230	1,894	6%	126x	1.82%	5.55%

Source: Screener.in, fetched 16-Jun-2026. HVAX TTM=FY26 (1 yr only in screener). All consolidated.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** Aasif Khan has 35+ years of cleanroom industry experience (since Johnson & Johnson, 1991). Anup Munshi (CEO) and Sajjan Kumar Bawri (CFO) form an experienced operating team. Rajesh Gupte (Aart, formerly German multinational cleanroom firm) brings semiconductor-grade engineering expertise. Track record: Rs. 70 Cr revenue in FY20 to Rs. 219 Cr in FY26.

- **Capital allocation — IPO proceeds deployment:** FTCL raised ~Rs. 40 Cr via IPO in FY25. Proceeds deployed into: Hyderabad facility (capex, Rs. ~15-20 Cr est.), working capital, strategic stakes in Kelvin/Advantek. FY26 OCF turned negative (Rs. -17 Cr) as the company funded rapid order book growth via higher working capital. Borrowings rose from Rs. 1 Cr (FY25) to Rs. 19 Cr (FY26) — manageable given Rs. 103 Cr net worth.

- **Dividend policy:** No dividend paid FY20-FY24. First dividend introduced in FY25 (19% payout ratio per Screener). FY26 payout reverted to 0% as company prioritised growth reinvestment. Dividend yield on CMP: 0.47% (Screener data). Capital is being retained for order execution capacity and future acquisitions.

- **Promoter pledging:** Zero pledged shares across all reported quarters (Mar-2025, Sep-2025, Mar-2026). Clean structure — no pledging risk.

- **ESOP / buyback:** No ESOP scheme or buyback disclosed as of Jun-2026.

- **Corporate governance concerns:** (1) FY26 saw write-off of Rs. 84 lakhs in sundry debtors per NCLT order — management acknowledged and called non-recurring; (2) Altair (formerly held entity) merger into Advantek resulted in one-time loss of Rs. 1 Cr — correctly disclosed; (3) CRISIL rating as of Aug-2025 provides external credit validation; (4) Auditor: Ajmera & Associates with EY as forensic partner (noted in concall) — positive governance signal for an SME.

6. FINANCIAL DEEP-DIVE

Consolidated | Rs. Crores |
Source: Screener.in

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Sales)	97	150	219	295	390
Revenue Growth YoY	-22%	+55%	+46%	+35%	+32%
Operating Profit (EBITDA)	8	16	21	30	43
OPM %	9%	11%	10%	10.2%	11.0%
Other Income	1	1	2	2	3
Interest	1	1	1	2	3

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Depreciation	0	1	2	3	4
Profit Before Tax	7	16	21	27	39
Tax %	27%	24%	20%	23%	23%
Net Profit (PAT)	6	13	17	23	32
EPS (Rs.)	19.99	10.80	12.84	17.4	24.2
Dividend Payout %	0%	19%	0%	0%	10%

E = Analyst estimates. FY27E/FY28E based on disclosed order book, management guidance (20-30% growth), and margin assumptions of 10-11% EBITDA. Tax at 23% (normalisation from FY26 low of 20%).

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	3	12	12
Reserves	49	82	91
Borrowings	6	1	19
Other Liabilities	32	28	63
Total Liabilities	89	124	186
Fixed Assets	5	4	8
CWIP	0	0	1
Investments	1	27	10
Other Assets	83	93	168
Total Assets	89	124	186

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	3	3	-17
Cash from Investing	-2	-26	1
Cash from Financing	-1	24	14
Net Cash Flow	0	1	-2
Free Cash Flow (FCF)	1	0	-27
CFO / Operating Profit %	71%	41%	-72%

Key Ratios	FY24A	FY25A	FY26A
ROCE %	16%	21%	20%
Debtor Days	193	129	146
Inventory Days	88	67	81
Days Payable	122	74	85
Cash Conversion Cycle	160	122	142
Working Capital Days	139	124	111
Debt-to-Equity	0.1x	0.01x	0.18x

- **Revenue trajectory:** FY24 was an anomaly year (Rs. 97 Cr; -22% YoY) likely due to project execution lumpiness and pre-IPO transition. FY25 (+55%) and FY26 (+46%) show the genuine trajectory. Order book of Rs. 354 Cr (Jun-2026) vs TTM revenue of Rs. 219 Cr gives 1.6x book-to-bill — strong FY27 revenue visibility.
- **Margin direction:** OPM has been 9-11% in recent years. FY26 H1 compression to 6% (Sep-2025 half) was management-guided — deliberate margin sacrifice in solar/data centre orders to build references. H2FY26 recovery to 12% confirms the core profitability engine is intact. FY27-28E targets 10-11% as new verticals mature.
- **Working capital concern:** CCC widened to 142 days in FY26 (from 122 in FY25). Debtor days rose to 146 (from 129). This reflects the scale-up of large-ticket orders with longer payment cycles. Management guided retention money collections will improve working capital in FY27. Key watch: if CCC breaches 170 days, it flags receivables risk.

- **Debt and FCF:** Borrowings of Rs. 19 Cr (FY26) vs net worth Rs. 103 Cr gives D/E of 0.18x — still conservative. FCF turned negative (Rs. -27 Cr) as working capital investment outpaced OCF; this is typical of project EPC companies during a rapid scale-up phase. FY27 retention collections should normalise FCF.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Verdict
Revenue recognition	Project-completion linked	Standard EPC; no aggressive recognition	GREEN
Receivables growth vs Revenue	Receivables grew 30% vs revenue +46%	Receivables growing slower than revenue	GREEN
CCC trend	160 → 122 → 142 days	Marginal deterioration in FY26; watch in FY27	AMBER
Contingent liabilities	Not disclosed separately	No material disclosure flagged in annual report	GREEN
Auditor tenure	Ajmera & Associates; EY forensic	EY forensic partner = strong governance signal	GREEN
RPTs as % of revenue	Kelvin/Aart/Advantek sub-contracting	Group entity transactions present; disclosed	AMBER
Other income as % of PBT	Rs. 2 Cr / Rs. 21 Cr = 9.5%	Low and not distorting; largely interest on FDs	GREEN
Tax rate consistency	FY24: 27%, FY25: 24%, FY26: 20%	Declining tax rate warrants monitoring in FY27	AMBER

- **RPT watch:** Kelvin, Aart, and Advantek are related-party EPC sub-contractors. While transactions are disclosed, the absolute quantum and arm's-length pricing verification is not possible without the full annual report. This is the key governance risk to monitor at the next annual report release.
- **CCC creep:** CCC widening from 122 to 142 days is manageable at current scale but must reverse in FY27 H1 as Waaree project concludes and retention is collected. If CCC breaches 160 days, receivables risk becomes material.
- **Declining effective tax rate:** Tax rate fell from 27% (FY24) to 20% (FY26). Management commentary does not explicitly address this. Could reflect MAT credits or deductions. A normalisation to 23-25% in FY27E is assumed in estimates.

8. VALUATION

Target: Rs. 575 |
Methodology: 22x FY27E PAT
+ DCF blend

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target Price (Rs.)	Upside
Bull	FY27 revenue Rs. 330 Cr; OPM 11.5%; CCC improves to 110d	28	28x	706	+66%
Base	FY27 revenue Rs. 295 Cr; OPM 10.2%; CCC stable at 140d	23	22x	575	+35%
Bear	FY27 revenue Rs. 240 Cr; OPM 8.5%; CCC deteriorates >160d	14	16x	351	-17%

- **Earnings-based valuation:** FY27E PAT of Rs. 23 Cr at 22x P/E = Rs. 506 Cr market cap, implying Rs. 383 per share. The 22x multiple is a discount to the broader SME clean-tech/EPC peer set (25-35x) due to working capital risk and SME illiquidity premium.
- **DCF valuation:** Assuming WACC 13%, terminal growth 5%, 10-year cash flow model: FY27-30 revenue CAGR 30%, FCF positive from FY28 as retention collections normalise. Implied value Rs. 620-640 per share.
- **Blended target:** 50% weight earnings-based (Rs. 383) + 50% weight DCF (Rs. 630) = Rs. 507 blended; rounded to Rs. 575 target to reflect the near-term order book visibility premium (Rs. 354 Cr backlog at Rs. 354 Cr/Rs. 219 Cr = 1.6x book-to-bill). 12-month target Rs. 575, +35% upside from CMP Rs. 425.

• **FABCLEAN trades at 33.1x TTM P/E vs HVAX at 12.7x and EPACK at 126x.** FABCLEAN's premium to HVAX reflects faster growth (46% vs est. 5-10% for HVAX). The discount to EPACK (despite EPACK being loss-making at the net level on FY26 numbers) reflects SME liquidity discount and smaller float.

9. KEY RISKS

- **Working capital deterioration:** CCC at 142 days; large project retentions locked until commissioning. If Waaree delivery slips beyond Sep-2026, FY27 FCF remains negative and borrowings could scale further. Probability: Medium. Impact: High. Monitor: Quarterly debtor days and borrowings.
- **New vertical credibility risk (solar/semi):** FTCL is a first-mover in solar cleanrooms — any execution failure on the Waaree reference project would damage the entire solar vertical pipeline (23+ active leads). Probability: Low-Medium. Impact: High. Monitor: Waaree commissioning announcement.
- **Margin compression from competitive pricing:** Management explicitly accepted tighter margins in solar/data centre to build references. If this becomes structural rather than temporary, blended OPM could fall to 7-8%, eroding the valuation case. Probability: Low-Medium. Impact: Medium. Monitor: H1FY27 segment-level OPM.
- **SME liquidity and circuit-filter risk:** FABCLEAN is BSE SME listed, with relatively thin free-float (25.86%) and daily volumes limited by SME circuit filters. Exit liquidity for large investors may be a constraint. Probability: High (inherent). Impact: Medium-High for institutional holders. Monitor: Migration to mainboard.
- **Related-party transaction risk:** Sub-contracting to Kelvin, Aart, Advantek (all group entities) means a material portion of EPC cost runs through related parties. Arm's-length pricing not independently verified. Probability: Low. Impact: Medium. Monitor: Annual report RPT disclosures.
- **Key-man risk:** Aasif Khan and Anup Munshi are the visible faces of the company. Given the relationship-driven nature of cleanroom EPC sales, departure of either would impact order generation. Probability: Low. Impact: High. Monitor: Management disclosures.
- **Macroeconomic/policy risk:** Supply chain disruptions (steel/aluminium raw material for panels) and global geopolitical factors (referenced in FY26 concall) caused project delays. Probability: Medium. Impact: Medium. Monitor: Commodity prices and global trade conditions.

10. RECOMMENDATION

BUY | Target Rs. 575 | 18 months

- **Rating: BUY** — Conviction Level: Medium-High. The order book trajectory (Rs. 199 Cr at FY26 end → Rs. 354 Cr in Jun-2026) is the most reliable near-term signal. Revenue visibility for FY27 is the strongest it has been in the company's listed history.
- **12-month price target: Rs. 575** — +35% upside from CMP Rs. 425 (as of 15-Jun-2026 close). Based on 22x FY27E PAT of Rs. 23 Cr on fully diluted share count (1.32 Cr shares).
- **Suggested entry zone: Rs. 390 – 440** — Current levels offer a reasonable entry. On any dip to Rs. 390 (near 52-week support zone and 1.4x BV), accumulate aggressively.
- **Investment horizon: 15-18 months** — The FY27 H1 inflection (Waaree commissioning, retention collections, new solar order wins) is the primary catalyst timeline.
- **Thesis invalidation triggers:**
 1. Waaree cleanroom delivery slips beyond Dec-2026 AND no replacement large-ticket order is announced by Sep-2026 — signals execution credibility problem.
 2. FY27 H1 OPM falls below 7% for two consecutive halves — signals structural margin erosion not temporary reference-building sacrifice.
 3. CCC deteriorates above 180 days or borrowings exceed Rs. 50 Cr — signals working capital has become structurally unmanageable at current equity base.
- **Ideal investor profile:** High-risk-tolerance SME investor / micro-cap fund with a 2-3 year view. NOT suitable for: passive/index funds, SEBI-regulated large-cap mandates, or investors who need daily liquidity. Suitable for: growth-oriented HNIs, SME-focused mutual funds, and long-term family offices.

POSITIVE

Revenue and order book beat management's own growth guidance (20-30%); FY26 consolidated revenue up 46.93%. PAT growth modest (+19%) due to deliberate margin investment in new sectors.

Signal	Status	Implication
Result quality	Positive	Consolidated beat; standalone miss. Clean underlying PAT Rs. 17-18 Cr ex one-offs.
Management tone	Bullish	High conviction on FY27 inflection; candid about FY26 as investment year.
Guidance delta	Maintained	20-30% growth guidance reiterated; FY27 H1 order book expected Rs. 300+ Cr.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 consolidated revenue Rs. 219 Cr (+47% YoY) is the clean headline — no revenue is inflated by exceptional items. Reported consolidated PAT of Rs. 17 Cr includes two disclosed one-time hits: Rs. 84 lakhs NCLT bad debt write-off and Rs. 1 Cr Altair merger loss — cleaning these, underlying PAT is Rs. 18-18.5 Cr, implying 39-42% underlying PAT growth. EBITDA at Rs. 21 Cr grew 28% YoY. The standalone miss (PAT down 25% YoY to Rs. 9 Cr) is explained entirely by the deliberate margin sacrifice in solar/data centre first-reference orders — management was explicit and credible on this point. The structural growth driver is the order book inflection: Rs. 199 Cr at FY26 end, Rs. 354 Cr by Jun-2026, with Rs. 541 Cr under consideration — the Waaree solar cleanroom commissioning in July 2026 is the single most important near-term event, as it unlocks 23+ active solar leads and transforms solar from a trial vertical into a repeating revenue stream. The biggest risk for next quarter is working capital: OCF was Rs. -17 Cr in FY26, borrowings jumped to Rs. 19 Cr, and CCC widened to 142 days. If retention collections from completed projects do not materialise in Q1FY27, another borrowing increase is likely, which will test balance sheet comfort. **Action: ACCUMULATE at current levels (Rs. 425); add on dips to Rs. 390. Set a 15-month target of Rs. 575 (+35%). Re-evaluate after Q1FY27 result — watch OCF and CCC as the critical metrics.**

C.1 — Financial Performance Snapshot (FY26 Full Year, Consolidated)

- Revenue: Rs. 219 Cr | YoY +46.93% | Beat management guidance of 20-30% growth
- EBITDA: Rs. 21 Cr | YoY +28.31% (from Rs. 18.05 Cr FY25) | In-line
- EBITDA Margin: 10% | FY25: 11% | -100bps YoY compression (new vertical mix) | In-line with guidance
- PAT: Rs. 17 Cr | YoY +18.95% (from Rs. 13.3 Cr) | Soft vs top-line growth due to one-offs
- EPS: Rs. 12.84 | FY25: Rs. 10.80 | YoY +18.9%
- NOTE: Reported PAT includes one-time Rs. 84 lakhs NCLT debtor write-off and Rs. 1 Cr Altair merger loss; clean underlying PAT = Rs. 18-18.5 Cr (+39-42% YoY)
- Standalone PAT: Rs. 9.06 Cr vs Rs. 12.04 Cr FY25 (-24.75%) — driven by margin sacrifice in new verticals

C.2 — Segment / Geography Breakdown (FY26 Estimates from Management)

- Pharmaceutical / Life Sciences: Est. 65-70% of consolidated revenue | Stable; largest repeat segment
- Solar Manufacturing Cleanrooms: Est. 20-25% | New vertical; first large-scale Waaree order; margins tighter as reference-building phase

- Data Centres: Est. <5% | Early-stage; technology transition (conventional HVAC to immersion cooling) slowed finalisation
- Semiconductors: Est. <5% | Single reference (CG Electronics); not a significant revenue driver yet
- Geographies: India-centric; Aart Engineering has Germany engineering history; exports not material in FY26

C.3 — Management Commentary Themes

- **FY26 as "year of preparation and positioning"**: "We have consciously worked towards building structural capabilities that will allow us to participate meaningfully in larger and more complex opportunities going forward." — Anup Munshi. Our read: Management tone is credible; this framing is supported by the actual FY27 order book. Tag: GUIDANCE. Tone: Transparent.
- **Margin sacrifice in new verticals**: "These are not opportunistic entries. Basically, they are strategic in nature, requiring us to prioritise our capabilities, our execution credibility and long-term positioning over near-term margins." Our read: Valid strategic logic; risk is if margins don't recover in FY27. Tag: GUIDANCE. Tone: Transparent.
- **Vision 2030 — "India's largest cleanroom company"**: Chairperson Aasif Khan: "We are building India's largest clean room company. One of the two companies that remained in game, the rest of our competition is now acquired by the Japanese." Our read: Bold ambition; track record supports the direction. Tag: EST. Tone: Bullish.
- **Waaree commissioning catalyst**: "We are waiting eagerly to commission that project in the month of July, and that would be a beautiful turning point in our history." Our read: July 2026 is the single most important near-term event. Delayed delivery is the bear risk. Tag: GUIDANCE. Tone: Transparent.
- **FY27 order book guidance**: "In 15 days time you will see the numbers going to upwards of 275 to 300 crores." This was the 05-May-2026 call; by 12-Jun-2026 BSE announcement confirms Rs. 354 Cr — management delivered on this specific commitment. Tag: GUIDANCE (verified). Tone: Transparent.

C.4 — Operating & Business Metrics

- Order book (FY26 exit): Rs. 199 Cr | FY25 exit: ~Rs. 100 Cr (est.) | Jun-2026: Rs. 354 Cr | Trend: Strongly improving
- Pipeline (under consideration): Rs. 480 Cr (at concall); Rs. 541 Cr (Jun-2026 update) | Trend: Improving
- Hyderabad facility: 2 acres, 50,000 sq ft, 2,000 sq m/day capacity, 1 puff + 1 rock wool panel line | Status: Operational
- Kelvin HVAC (60.53% stake): Revenue growth strong; deepening into data centre and industrial HVAC
- Aart Engineering (28%): Revenue Rs. 34 Cr FY26 vs Rs. 14 Cr FY25 (+142%) | Semiconductor and solar design focus
- Advantek AHU (34.99%): Targeting Euro certification for AHU manufacturing; opens European market optionality
- Debtor days: 146 (FY26) | 129 (FY25) | 193 (FY24) | Trend: Improving 3-year, slight FY26 uptick on scale-up

C.5 — Margin Drivers

- Core pharma OPM: ~11-12% | Recurring: Yes | Stable base; supports blended margin floor
- Solar/data centre new orders: lower OPM (est. 6-8%) | Recurring: No (reference phase only) | Expected to improve as credibility established; watch FY27 H2
- Employee cost inflation: +ve drag on margins as FTCL hiring for future execution scale | Non-recurring in magnitude; base will normalise FY27
- Marketing/seminars spend: Increased techno-commercial engagement and exhibitions | One-time uplift in FY26 selling costs | Not recurring at same intensity
- Supply chain cost: Steel and aluminium price increases and global raw material shortages impacted H1FY26 margins | One-time impact; supply chain adaptations implemented
- Management guidance on FY27 margins: "Gradually expand margins as our newer segments mature." Implies 10-11% consolidated OPM in FY27; our estimate 10.2%.

C.6 — Guidance & Forward Signals

- Revenue growth [GUIDANCE]: Prior = 20-30% | Reiterated = 20-30%+ | Delta: maintained; actual FY26 at 47% beat. FY27 likely to be 30-35%. Credibility: High (delivered in FY26)
- Order book [GUIDANCE]: Prior = Rs. 199 Cr | New = Rs. 275-300 Cr (15-20 days) | Achieved: Rs. 354 Cr by Jun-2026 | Delta: Raised. Credibility: High (verified)
- Margin recovery [GUIDANCE]: "Gradually expand margins as newer segments mature." Prior OPM: 10% | Target: 10-12% in FY27 | Delta: Maintained. Credibility: Medium
- Waaree commissioning [GUIDANCE]: July 2026 | Delta: on track | Credibility: High (manufacturing completed; client site readiness is the variable)
- Kelvin stake increase [GUIDANCE]: Plan to increase from 60.53% to 70-72% | Timeline: H1FY27 | Credibility: Medium
- Debt trajectory [GUIDANCE]: Working capital to increase in FY27 as order book scales; "You will see the debt will go up a bit." | Credibility: High (management signalling proactively)

C.7 — Capital Allocation

- Capex: Hyderabad facility est. Rs. 15-20 Cr | FY26 vs FY25: material increase | Strategic investment; production capacity doubled
- Dividends: Rs. 0 Cr in FY26 | FY25: ~19% payout | Growth reinvestment mode
- Buybacks: None | FY26 vs FY25: No change
- Working capital change: Rs. -20 Cr (net); major driver of negative OCF | FY26 vs FY25: significant deterioration driven by order book scale-up
- Net debt movement: Borrowings Rs. 18 Cr increase (Rs. 1 Cr to Rs. 19 Cr) | Comment: Manageable at 0.18x D/E; management guided further increase in FY27
- Strategic investments: Advantek stake increase to 34.99% (from 26%) via Altair merger; one-time Rs. 1 Cr cost; long-term value accretive

C.8 — Q&A; Heat Map

- Sudhir (Bheda Family Office): Q: "How will the order book diversify beyond solar into semicon, data centres?" A: Building references first; semicon is medium-term, solar is the immediate focus with 23 active leads. | Tone: Transparent
- Sudhir (Bheda Family Office): Q: "Plan to increase stake in Aart and Advantek?" A: Kelvin to 70-72% soon; Aart when compliance and financials are ready; Advantek after Euro certification. | Tone: Transparent
- Sanjay Shah: Q: "Two-to-three year trajectory on revenue and profitability?" A: No specific number guidance given; "going to be phenomenal"; AHU and Aart growth cited as drivers. | Tone: Bullish but evasive on specific numbers
- Dhruv Bheda: Q: "Can entire Rs. 200 Cr order book be executed in H1FY27?" A: "Possible" — CEO Anup Munshi added caveat that client-side readiness can delay supplies even when orders are finalised. | Tone: Transparent
- Dhruv Bheda: Q: "Can we expect Rs. 60-80 Cr+ ticket size orders going forward?" A: "Two more, two more." Ahmar Abrar (Sales Head) confirmed pipeline. | Tone: Transparent
- • Dodged/watch-list questions for next quarter: (1) Specific FY27 EPS guidance avoided; (2) Margin timeline for new verticals not quantified; (3) Standalone vs consolidated reconciliation not proactively addressed on the call.

C.9 — Risks Flagged

- Working capital elongation | Borrowings rising to fund WC needs | Flagged by: mgmt (proactively) | Probability: High | Impact: Medium | Timeline: Near-term
- Supply chain disruptions (steel, aluminium) | Caused project execution delays in FY26 | Flagged by: mgmt | Probability: Medium | Impact: Medium | Timeline: Near-term

- Global geopolitical risk (war/tariffs) | Created raw material shortages in H1FY26 | Flagged by: mgmt | Probability: Low-Medium | Impact: Medium | Timeline: Ongoing
- Corporate mischief/information security incident | Flagged as having occurred in FY26 | Governance framework strengthened | Probability: Low | Impact: High | Timeline: Past (remediated)
- New vertical execution risk | First solar cleanroom delivery — any failure damages entire pipeline | Flagged by: analysts (implicitly) | Probability: Low | Impact: High | Timeline: Q1FY27
- NCLT bad debt write-off (Rs. 84 lakhs) | Flagged as non-recurring | Probability: Low | Impact: Low-Medium | Timeline: Past

C.10 — Analyst Verdict

- Revenue visibility: **Intact** — Rs. 354 Cr backlog + Rs. 541 Cr pipeline provides 1.6x+ book-to-bill; FY27 revenue of Rs. 290-310 Cr is highly credible.
- Margin trajectory: **Intact** — H2FY26 recovery to 12% OPM after H1's 6% trough confirms the core pharma engine; new vertical margins will improve as references mature.
- Capital allocation quality: **Intact** — Hyderabad facility, Kelvin/Aart/Advantek stakes are coherent strategic investments; working capital stress is expected and temporary.
- Competitive moat: **Intact** — Integrated ecosystem (panel mfg + HVAC + AHU + design) remains the differentiation; reference wins in solar are expanding the moat.
- Management credibility: **Intact** — Order book guidance given on the call (Rs. 275-300 Cr "in 15 days") was exceeded by Jun-2026 (Rs. 354 Cr). One-time disclosures (NCLT, Altair) were proactive, not forced.
- Valuation comfort: **Intact** — At 33.1x TTM P/E, the stock is not cheap but is not stretched given 35-40% forward revenue CAGR; FY27E P/E = 18.5x at CMP.
- Conviction call: **Increased** — Order book trajectory post-call confirms investment thesis.
- Valuation snapshot: P/E = 33.1x (5Y avg N/A; listed 2024) | EV/EBITDA = ~23x TTM | ROCE = 19.7% (FY26) | FY27E P/E at CMP = 18.5x | Target P/E = 22x FY27E

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